

PSI Exam Prep: Property Ownership

STUDY SHEET

Top Takeaways

Ten percent of your licensing exam questions will relate to property ownership.

- **Land** : The Earth's surface extending downward to the center of the earth and upward to infinity, including permanently attached natural objects
- **Real estate** : Land, plus all things permanently attached to it naturally or artificially
- **Real property** : Real estate, plus the interests, benefits, and rights included with real estate ownership
- **Improvements** : Artificial attachments to land that include things such as fencing, buildings, and walkways
- **Personal property** : Everything owned that is not real property, aka chattel

A. Real and Personal Property; Conveyances

- **Fixture** Anything permanently attached to the land or to permanent structures on the land.
- **Annexation**: The process of converting personal property to real property.
- Five basic tests (MARIA) to determine if an item is a fixture or personal property:
 - **Method of annexation** : This refers to whether the item is attached to the property and how permanent the attachment is.
 - **Adaptability for use** : This refers to how an item is adapted to the real property. If removing an item would change or eliminate the use of the property, it's likely real property.
 - **Relationship of the parties** : In general, the courts tend to favor a tenant's take on an item over the landlord's and a buyer over a seller.
 - **Intention in placing** : If an item was intended to be temporary, then it's less likely to be considered real property.
 - **Agreement of the parties** : If the parties have agreed whether an item will stay or go, this is the simplest and first test.
- Fixtures are part of real property and are included (conveyed) with a sale of real property unless the parties negotiate differently.
 - If a fixture should be excluded from the transfer, the sales contract should clearly identify that the item is excluded from the transaction.
 - If the fixture's status is debatable, the contract should clarify whether the item will stay or go.
 - Fixtures that are removed from the improvement before an agreement of sale become personal property again through the process of **severance** .
- **Emblements** : Cultivated crops that are considered personal property, even though they're part of the soil.
 - Owners don't need to dig up the crops and take them when the land is conveyed, but those owners are entitled to the fruits of their labor and can harvest the crop when it's ready (even if the land has transferred to a new owner).
- **Bundle of rights** : This refers to the rights extended to a property owner to use the physical components of land, such as the surface, sub-surface, and air rights.
- When purchasing property, the buyer may or may not receive all the property rights in the bundle of rights; e.g., the property may be leased to someone else, thus denying the owner some of the rights. The mineral, air, or water rights may have been split off and sold separately.
- The bundle of rights includes:
 - **Possession** : This means that the titleholder may possess (be on) the property.
 - **Control** : The owner controls the use of the property.
 - **Exclusion** : The owner may decide who may or may not access the property.
 - **Enjoyment** : The owner may use the property in any legal matter.
 - **Disposition** : The owner has the right to sell or convey the property.

B. Land Characteristics and Legal Descriptions

- A **legal description** permits a specific parcel of property to be located by a trained surveyor.
- Three primary types of legal descriptions are metes and bounds, lot and block (also known as recorded plat), and rectangular government survey system (RGSS). **Note** : Be sure to review the additional resource, titled, 'The Rectangular Government Survey System,' provided in your exam prep lesson.
- Physical characteristics of land
 - **Immobility** : The geographic location of land is fixed and can't be changed.
 - **Indestructibility** : Improvements may deteriorate over time, but not land itself.
 - **Uniqueness/nonhomogeneity** : One piece of land is never exactly like another.

1. Metes and Bounds Method of Legal Property Description

- **Metes** are the direction and distance of a line forming the property's boundary; **bounds** are physical features that define the boundaries of the property. **Metes-and-bounds** descriptions are characterized by a point of beginning, which is where

the description both begins and ends. It also uses monuments to mark boundaries. The monuments are thought to have more credibility than the measurements.

- A metes and bounds legal description looks like this: *Beginning at a stake and stones about 30 feet from the center of the brook that runs across the road southwesterly from the dwelling house of the late Jebediah Smith now occupied by the widow Callie Thornton and in the west line of the highway leading by the dwelling house now occupied by the widow Callie Thornton ...*
- **Monument** : A permanent physical marker used in a metes-and-bounds description that can be man-made or natural. It may be a tree, creek, rock, or a stake placed in the ground.
 - Monuments are used within a metes-and-bounds description to mark points at which there is a change in direction as one follows the boundary of the parcel.
 - A monument is also the point of beginning of a legal description in the monuments system, which is infrequently used.

2. Lot and Block (Recorded Plat) Method of Legal Property Description

- **Lot-and-block** systems begin with a reference to either metes and bounds or RGSS, then divide the land into lots with numerical descriptions of each parcel. A plat with the lot descriptions is recorded in the land records. Lot-and-block divisions include streets, access roads, and other important features.
 - A lot-and-block legal description looks like this: *Lot 6 of Block 3 of the East Subdivision plat as recorded in Map Book 18, Page 11 at the Recorder of Deeds*

3. Government Survey (Rectangular Survey) Method of Legal Property Description

- The **rectangular government survey system**, regulated by the U.S. Department of the Interior's Bureau of Land Management, divides land into **townships** and further into sections and fractions called **sections**.
 - The **principal meridian** is the north-south line that runs through an initial point in the RGSS. These descriptions also use compass point directions (northwest; southeast; etc.).
 - The **base line** is the east-west line from which measurements originate.
 - East-west lines of a survey are called **township lines**; north-south lines are called **range lines**.
 - There are 37 named principal meridians in the U.S.
 - Each parcel is described by referencing the principal meridian and base line that is appropriate to the township in which the parcel is located. Every township is six miles square or 36 square miles. Every section is one square mile, which is also one mile squared.
 - A rectangular government survey system legal description looks like this (and is read right to left): *S ½ SE ¼ NW ¼ Section 14, Township Clarkson.*

4. Measuring Structures (Linear and Square Footage)

- Structure area is stated in square units, i.e. square feet, square yards, etc.
- Area of rectangle = length × width (6×4)
- Area of square = side × side (4×4)
- Area of triangle = $\frac{1}{2}$ base length × height
- Break irregular shapes into basic shapes (square, rectangle, triangle), calculate the area of each, then add for total area.
- Measurements and conversions:
 - One square yard = nine square feet
 - Square feet ÷ nine = square yards
 - Square yards × nine = square feet
- Structure measurement may be used to perform per-square-foot property calculations.
- ANSI sets standards for measuring structures.
- Spaces must be contiguous, meaning finished and unfinished spaces must be attached to one another to be included in the total measurement calculation.
 - Finished spaces can only be included if attached to the main property via stairways or hallways. If Cheryl's She-Shed is in the backyard of a property but isn't attached, it doesn't count as finished square footage.
- For detached structures, measurements are taken at floor level to the exterior finished surface of the outside walls.
- When measuring, round to the nearest inch or 10th of a foot. Report square footage as a whole number.
 - Garages can't be included in the finished square footage.
 - Stairwells are included in square footage measurements. Treads and landings are counted in the upper floor's square footage.
 - Ceiling height must be at least 7 feet (beamed ceilings must be at least 6 feet 4 inches under the beam, and slanted ceilings must have at least a 7-foot ceiling over 50% of the finished floor area) to be included as finished square footage.

Example

The living room of Trixie's house is 15 feet by 13 feet. The dining room is 12 feet by 13 feet. How many square feet is this entire area?

$$(15 \times 13) + (12 \times 13) = 195 + 156 = 351 \text{ square feet}$$

Example

Jonathan's 3,200 square foot home sold for \$425,000. The price per square foot is $\$425,000 \div 3,200$, or \$132.81.

5. Land Measurement

- Land measurements are stated in terms of square feet, square miles, perimeter, frontage foot, linear miles, acres, and hectares.
 - One acre = 43,560 square feet (memorize this for your exam)
 - Square feet $\div$ 43,560 = acres
 - Acres $\times$ 43,560 = square feet
 - One mile = 5,280 linear feet
 - Linear feet $\div$ 5,280 = miles
 - Miles $\times$ 5,280 = linear feet (memorize this for your exam)
 - One hectare = approximately 2.47 acres
 - Front foot (frontage) = length of the property along a street, highway, or waterway
 - Perimeter = length and width of all sides added together
 - One square mile = 640 acres

Example

A parcel of land is three-quarters of a mile by 2,800 feet. The price is \$2,500 per acre. How much is the land worth?

$$5,280 \times .75 \text{ (3/4 of a mile)} = 3,960 \text{ feet}$$

$$3,960 \times 2,800 \text{ feet, or } 11,088,000 \text{ square feet}$$

$$11,088,000 \div 43,560 \text{ (square feet in an acre)} = 254.55 \text{ acres}$$

$$\$2,500 \times 254.55 = \$636,375$$

Example

A land parcel is 7,500 square feet. It's 75 feet deep. What is the frontage?

$$7,500 \div 75 = 100. \text{ The property is 75 feet deep by 100 feet long (frontage).}$$

Example

Trinity owns a land parcel that is a half-mile square. How many acres is it?

Each side of the parcel is 2,640 linear feet (5,280 feet in a mile).

$$2,640 \times 2,640 = 6,969,600 \text{ square feet}$$

$$6,969,600 \div 43,560 \text{ (square feet in an acre)} = 160 \text{ acres}$$

- Air lot diameters are measured based on the perimeter of the land parcel directly beneath. Air lot heights are established by the city or other governing authority that has jurisdiction.
- Datums and benchmarks are used to measure elevation.
 - A **datum** is a horizontal point of reference from which surveyors measure the depth and height of various land elevations.
 - A **benchmark** is a point where the exact elevation is known and marked with a brass or aluminum plate. Surveyors can use this as a starting point to measure other elevations.

C. Encumbrances and Effects on Property Ownership

- An **encumbrance** is a legal limitation on the owner's use of the property or its value. It can affect marketability and may be monetary or physical.

1. Types of Liens and Their Effect on the Title and Value of Real Property

- Liens are a financial claim or encumbrance against a property. Some of the common sources of liens are mortgages, unpaid taxes, unpaid services, and judgments.
- General liens affect real and personal property and include judgment liens, federal and state tax liens, and decedent's debts.
- Specific liens affect the specific real property/properties to which they're attached by agreement or law and include mortgage liens, real property tax liens, mechanic's liens, special assessment liens, vendor and vendee liens, and HOA liens.
- Another way to classify liens is as voluntary or involuntary. A mortgage lien, because the property owner chooses to have a mortgage, is voluntary. An involuntary lien is one created without the property owner's consent, like a property tax lien.
- A mechanic's lien is one a vendor of goods or services places on the property and creates a cloud on the property's title.

- An attachment lien is when the courts place an encumbrance on the property of a defendant in a lawsuit for monetary damages (also known as a judgment).
- The typical priority of liens is property tax lien, mechanic's liens (if work began before the mortgage lien was recorded), first mortgage lien, and all other liens by date of recording.
- Many states give HOA liens a statutory super lien status, meaning that HOA liens take priority over all other types.

2. Easements, Rights of Way, and Licenses, Including Their Effect on the Title, Value, and Use of Real Property

- An **easement** is a non-possessory right acquired by one party to use another party's land for a special use. These are often acquired through a written agreement. Because an easement affects the use of a property, they have the potential to diminish the property's value.
- The property on which the easement lies is the **servient estate** ; it's said that the servient estate suffers the easement.
- The property or individual who uses the easement holds the **dominant estate** ; it's said that the dominant estate enjoys the easement.
- Categories of easements include:
 - **Easement appurtenant** : Attached to a specific parcel of land, transfers ("runs") with the land, and gives the "dominant tenement" rights to use adjoining property/servient tenement.
 - **Easement in gross** : Granted to a specific individual or business rather than attached to the property itself.
- Easements may be removed through express agreement, the dominant estate owner's abandonment, the merger of estates, or when there's no longer a need for the easement.
 - In order to remove an easement through **abandonment** , the dominant estate owner must take some action that shows a clear intent to stop using the easement.
 - Easement termination by **merger** occurs when the owner of either the servient or dominant estate purchases the other property. A property owner can't have an easement over his or her own land.
- Types of easements include:
 - **Easement by necessity** : This easement type can only be created for the purpose of ingress and egress.
 - **Easement by prescription** : This easement isn't legal, and is created through the continued, uninterrupted, obvious, exclusive, and adverse use of someone's property without permission.
- **Right-of-way** : A right of way provides a pass-through to other property but doesn't allow usage of the land.
- Easements are specific to the person or persons to whom the easement is granted. A right-of-way benefits anyone who needs to use it.
- The property's deed and title history should list known easements. Plat maps may also show easements.
- A **license** is temporary permission for one person, at the discretion of the property owner, to do something on another's land without actually possessing any interest or ownership in the land. A license is not assignable or inheritable.

3. Encroachments and Their Effect on the Title, Value, and Use of Real Property

- **Encroachments** are structures or objects built on another's land without permission. Encroachments are always illegal by definition.
- A survey establishes the boundary lines of a property and may help identify both encroachments and easements.
- Deed restrictions and covenants, conditions, and restrictions (CC&Rs) are encumbrances affecting land use.
- Leases usually run with the land, which means that if property ownership changes, lease terms remain in effect until the lease expires (unless the lease provisions state otherwise).
 - If the lease agreement includes the right to renew the lease, the new owner must honor that right and allow tenants to renew at the end of the term based on the renewal terms and negotiations between the parties.
 - Tenants must be notified of the change in ownership.
 - The financing instrument in many mortgaged leased properties includes a non-disturbance clause. If this provision is included, the mortgagee agrees not to evict tenants who are current on their rent if the mortgagee has to foreclose on the property.

4. Potential Encumbrances on Title, Such as Probate, Leases, or Adverse Possession

Overview of Encumbrances on Title

A buyer and lender require marketable title, meaning free from unreasonable risk of litigation. An encumbrance is any claim, defect, or right that:

- Limits ownership rights or property use
- Affects property value or marketability
- Does not necessarily prevent transfer, but impacts "clear title"

Encumbrances may be:

- Recorded (leases, liens)
- Unrecorded or hidden (e.g., heirs, adverse possession claims)

Probate and Estate-Related Encumbrances

Properties tied to estates often require court-supervised probate proceedings before clear title can be conveyed. Issues related to death and inheritance can cloud title.

Probate Concerns:

- Wills not properly probated may create ownership uncertainty
- Undisclosed or missing heirs may later claim ownership
- Improper interpretation of wills or trusts can affect title rights
- Conveyance errors by executors or administrators may invalidate transfers

Title Risks:

- Ownership may not be fully transferred
- Additional heirs may surface after closing
- Courts may need to resolve disputes

Leasehold Interests as Encumbrances

Leases are encumbrances because they transfer possession, not ownership. A lease is a legal encumbrance because it grants possession rights to a tenant.

Key Effects on Title:

- Buyer takes property subject to existing lease
- Tenant retains the right to:
 - Occupy the property
 - Continue the lease through its full term
 - Renew lease if contract allows

Buyer Considerations:

- Length of lease duration
- Rental income and payment history
- Renewal or purchase options (lease-to-own)
- Maintenance and financial obligations

Legal Implications:

- New owner becomes the landlord
- Must honor lease terms
- Must receive rent and maintain responsibilities

Adverse Possession (Unrecorded Encumbrance)

Adverse possession occurs when someone acquires ownership rights by continuous, unauthorized use of property. Adverse possession is especially dangerous because it is often not recorded and may not appear in a title search.

General Elements (vary by state law):

- Actual possession of property
- Open and notorious use (visible to others)
- Hostile claim (without owner's permission)
- Continuous and uninterrupted possession for statutory period

Impact on Title:

- Can result in loss of ownership rights
- May create boundary disputes
- Often discovered during surveys or litigation

Protecting Against Title Encumbrances

Buyers should never accept known title defects, even if risk appears low. Buyers and lenders use several protections:

Title Safeguards:

- Title Search: Identifies recorded encumbrances
- Survey: Reveals encroachments and boundary issues
- Title Insurance: Protects against hidden defects

Resolving Issues:

- Seller must clear defects arising during ownership
- Title insurance covers pre-existing, undisclosed issues
- Courts may resolve probate or adverse possession disputes

5. Property Rights That May Be Conveyed Separately from Use of the Land Surface, Such as Mineral and Other Subsurface Rights, Air Rights, or Water Rights

Some land rights can be conveyed separately from the land itself:

- **Mineral rights**, aka **subsurface** rights, are the rights to drill or dig for minerals on the property.
- **Air rights** refer to the right to use the area in the sky above a property.
- **Water rights** are especially important for agricultural use or in areas where a well is needed or water is scarce.
 - The three categories of water rights include riparian rights, littoral rights, and the doctrine of prior appropriation.
 - **Riparian** rights address water that moves through a property, such as a river or stream. Riparian rights are classified into one of two categories based on the type of water: navigable or non-navigable.
 - **Littoral** rights address static water, such as a pond, lake, or ocean. Owners with littoral rights have the right to use and enjoy the static water but not divert or contain it.
 - **Prior appropriation** says that the first party to physically take water from a source and put it to beneficial household, agricultural, or industrial use will continue to have a claim to the water.
 - Accretion, alluvion, erosion, avulsion, and reliction are all terms describing natural processes associated with water rights.
 - **Accretion**: Process by which water carries rock, sand, and soil and causes land build-up
 - **Alluvion**: New deposits of land that are the result of accretion
 - **Erosion**: Gradual loss of land due to a natural force
 - **Avulsion**: A sudden loss of land by a swift, large-scale change in water flow
 - **Reliction**: When water gradually recedes and uncovers new land

D. Types of Ownership

1. Ownership in Severalty/Sole Ownership

- With **ownership in severalty**, one person owns the property with no joint interest by any other person.
- With the death of an estate owned in severalty, the estate passes either according to instructions in the owner's will or according to state law.

2. Implications of Ownership as Tenants in Common

- **Tenancy in common** is a form of co-ownership in which each co-owner is entitled to possession of the whole. An owner's ownership is inheritable and, upon the owner's death, doesn't necessarily pass to the other owners.
- Tenancy in common is generally considered the default arrangement if the deed doesn't specify the tenancy of co-owners.
- A tenancy in common owner's debts can attach to that owner's ownership interest.
- Termination of a tenancy in common can occur by conversion to tenancy in severalty or by sale or partition.
- If co-ownership is terminated by partition, then the property is divided into portions, called partitions, and each tenant owns a specific partition.

3. Implications of Ownership in Joint Tenancy

- **Joint tenancy** is a form of co-ownership in which equal ownership requires unity of time, title, interest, and possession.
- Just as with tenancy in common, any owner's debt can attach to the ownership interest of that owner.
- Joint tenancy includes the right of **survivorship**, which means that the surviving co-owner(s) will own the property of a joint tenant who dies.
- If there are only two joint tenants, the death of one dissolves the joint tenancy. The remaining tenant becomes the owner of an estate in severalty.
- If there are more than two joint tenants, a deceased tenant's ownership transfers in equal parts to the remaining joint owners.
- Survivorship takes precedence over any devisees named in a will, as well as any heirs named by laws of descent and distribution.
- If a joint tenant sells his or her interest, the buyer doesn't become a joint tenant with the other owners; the buyer is a tenant in common with the remaining joint owners. That's because the unities of time and possession don't apply.

4. Forms of Common-Interest Ownership, Such as Timeshares, Condominiums, and Co-Ops

- Timeshares, condominiums, and cooperatives are primary examples of common-interest ownership. Often, these types of ownership require additional documentation and disclosures so it's clear to purchasers what is owned and any responsibilities individual owners share in regard to the property and common areas.
- A **timeshare** is owned by several joint owners, each of whom has the right to use the property under the specific terms of a timesharing agreement.
 - Timeshares may be sold a couple of different ways. **Fee simple** ownership is more widely used than the **right-to-use** format, which simply provides rights to occupy the property during a specified time frame.
 - Timeshare ownership is typically split into 52 weeks. A 1/13th interest means 1/13 of 52 weeks, or four weeks ($52 \div 13 = 4$).

- The fee simple ownership type of timeshare is called a **timeshare estate**. The right-to-use type of timeshare is called a **timeshare use**. Timeshare estates may be sold or inherited. Right-to-use timeshares can't be inherited since no actual ownership is involved.
- A twist on timeshares is **vacation ownership**. Buyers agree to a one-time purchase price and an annual maintenance fee, and in return get a selected accommodation time and have the right to use the unit for a specified number of years.
- Timeshares or vacation memberships may sometimes allow owners or members to exchange their specified time slot for another.
- Someone who purchases a **campground membership** buys the right to use the developer's facilities and may use the campground at any time when it's open.
- **Condominium** ownership typically involves ownership of a unit within a building and not the structure itself or any land. It also includes undivided shared interest in the common spaces.
 - Each unit has a separate legal description and all owners get their own tax bill.
 - A condo association or homeowners association handles common area and exterior maintenance issues. Owners pay HOA fees that go toward maintenance costs.
- **Cooperative (co-op)** members own shares in a corporation that owns the building. Members don't own real estate. Each owner's right of possession of his/her individual unit comes from a proprietary lease. The corporation that owns the real estate pays the single property tax bill.
- **Townhomes** are single-family homes but typically share walls with neighbors. An owner owns both the structure and the land.
- Ownership in a **planned unit development (PUD)**, a mixed-use development that has both residential and commercial units, consists of a parcel of land, any improvements, and shared common areas. Developers who are building PUDs must often submit plat maps for their developments. Like other common-interest properties, shared common areas are jointly owned.

6. Life Estate Ownership

- A **life estate** is a type of **freehold estate** in which ownership is limited to someone's lifetime. The future owner is determined based on the life estate's terms.
 - An **ordinary life estate** is based on the life of the estate holder/life tenant. For example, Christine gives her son an ordinary life estate in a property, and the estate lasts until her son's death.
 - **Pur autre vie** is based on the life of someone other than the holder of the life estate/life tenant. For example, Jarrod grants his ex-wife, Margo, a life estate pur autre vie in a house where Jarrod's mother Rose and Margo, who cares for Rose, both reside. The life estate stipulates that Margo's interest in the property will cease when Jarrod's mother dies.
- During the term of a life estate, the estate holder must keep the property in good repair. Any act by the estate holder that significantly reduces the value of the property at the end of the life estate is called an **act of waste**. The estate holder or another party with an interest in the property (for exam, heirs to the estate holder) may file a lawsuit to stop the waste and/or seek damages.
- When a life estate ends, ownership of and interest in the property is determined in one of two ways.
 - **Remainder**: Ownership will pass to a remainderman instead of the party who established the life estate.
 - **Reversion**: Ownership will revert to the life estate originator (or the originator's successors and heirs).
- When a life estate ends, the remainderman or reversion holder holds the estate in fee simple.
- A **freehold estate** is an interest in real property where the owner's possession of the property isn't of fixed duration, as it would be in a lease (**leasehold estate**). Three types of freehold estates exist.
 - **Fee simple estate** (aka **fee simple absolute**) is a type of freehold estate that conveys the most rights available. Property held as a fee simple can be sold and is inheritable.
 - Fee simple estates may be limited by both public and private restrictions, such as zoning ordinances or restrictive covenants.
 - The owner holds rights to the property on the surface of the land, above the land, and below the land (unless those rights have been separated from the property and conveyed to a different owner).
 - Fee simple estates must pass through the probate process before legal distribution to heirs.
 - Survivorship and inherited rights vary according to state and local laws and by how the title is held.
 - **Fee simple defeasible** is a type of freehold estate in which ownership is subject to either the occurrence or non-occurrence of a particular event. The two categories of fee simple defeasible estates are **fee simple determinable** and **fee simple subject to condition subsequent**.
 - With a **fee simple determinable estate**, the current property owner conveys ownership to a new owner as long as some event does or doesn't occur. For example, Morris gives a plot of land to a local parks district as long as the district only uses it for youth soccer fields. He gives the **possibility of reverter** to his son Joe, someone else named by Joe, or Joe's heirs if the parks district changes the property's use. If the use changes, the estate automatically ends and the property reverts to whoever holds the possibility of reverter.
 - With a **fee simple subject to condition subsequent estate**, the current property owner conveys ownership to a new owner on a specific condition. For example, Trinity conveys her home to her son, Gabriel, on the condition that the property remains residential. If Gabriel converts the property to some other use, the estate doesn't automatically revert to the original owner; however, Trinity (or her other heirs or successors) has the right to re-acquire full ownership. But she'll have to go to court to do so.
- A **leasehold estate** is an estate in which the holder has a possessory interest in a property but no ownership.
 - An **estate for years** is a lease that ends on a specific date and must be renewed by mutual agreement between the landlord and tenant.

- A **periodic estate** (aka estate from period to period) is a lease that automatically renews at the end of its term (such as a month-to-month lease).
- An **estate at will** is a lease without an established ending that can be terminated by either party.
- An **estate at sufferance** is one in which a tenant (referred to as a holdover tenant) didn't leave when the lease expired.